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General Council

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SMALL STEPS TO MAKE A DIFFERENCE

COMMUNICATION FROM AUSTRALIA, CHINA AND THAILAND

*Revision**

The following communication, dated 13 July 2023, is being circulated at the request of the delegations of Australia, China and Thailand.

Ministers committed at the Twelfth Ministerial Conference (MC12) that we should work towards necessary reform of the WTO to improve all its functions.¹ As part of WTO reform, improving the monitoring and deliberative function has gained momentum and broad convergence among members. A number of proposals have been put forward and substantial work in certain WTO bodies, such as CTG, is also ongoing.

Improving the monitoring and deliberative function of WTO will not only enhance the efficiency and effectiveness of WTO bodies, but also facilitate members' participation in WTO's daily work, especially for small delegations. The proposals submitted, including those under discussion in relevant WTO bodies, share a number of commonalities, which lays a good basis for actions to be taken for immediate outcome. For this purpose, this document is submitted as a contribution to the ongoing discussions with suggestions mainly on the process.

1 WORKING PROCESS

1.1. To have a meaningful discussion on improving the monitoring and deliberative function of the WTO, the June informal meeting on WTO reform suggested by the Chairperson of General Council should, rather than brainstorming, be focused and targeted on the issues raised by members while open to new ideas, and assess the suggestions with a view to their implementation. In this regard, it is suggested that the Secretariat should compile all the proposals submitted by members and categorize the suggestions included to facilitate the discussions. In the meantime, it will be helpful if the Secretariat could also give an indication on each suggestion listed in the categorized compilation, such as "partially implemented", "implemented already", "could be implemented", "need further discussion among members", etc.

1.2. In the whole process, discretion should be given to the Secretariat to take steps on those improvements which could be implemented within the Secretariat's mandate and capabilities. At the same time, a correction mechanism should be built. This means that whenever problems are identified, members should be able to raise them, so that necessary correction and recalibration can be made. It is expected that such a mechanism could help build confidence and trust through small-step reform. For some procedural improvements which may not be appropriate to apply to all WTO bodies at the beginning, they could start from the bodies in the position to do so.

* This revision is to add Australia as a co-sponsor to the communication.

¹ WT/MIN(22)/24 - WT/L/1135 "MC12 Outcome Document", paragraph 3.

1.3. The Secretariat is also requested to compile relevant background documents to facilitate members' discussions, such as relevant guidelines, decisions and discussion histories. The approach used by CTG and its subsidiary bodies can be a good reference.²

2 MINISTERIAL CONFERENCE

2.1. WTO has a special character, which is both a legally binding intergovernmental treaty of rights and obligations among its members and a forum for negotiations.³ The topmost decision-making body of WTO is the Ministerial Conference, which has to meet at least once every two years.⁴ Therefore, enhancing the decision-making function of Ministerial Conference is key to strengthening the rule-making nature of WTO. In the meantime, Ministerial Conference should be de-dramatized and should not be an overburdened negotiation platform.

2.2. For this purpose, intersessional Vice-Ministerial level Senior Official Meetings or Thematic Ministerial Meetings could be convened at an appropriate time to help Senior official/Ministers better engage, and to give necessary and timely instructions and authorizations to their negotiation teams. To make such meetings meaningful and substantial, there should be explicit objectives and Senior official/Ministers should be able to have real dialogues rather than reading statement.

2.3. Given that sometimes authorizations come at the very last minute before the Ministerial Conference, and frequently, they are interlinked across various issues, a Vice-Ministerial level Senior Official Meeting held 2 or 3 days prior to the Ministerial Conference could help make a final push. With such a meeting, members will also be in a better position to decide on what should be finally submitted to the Ministerial Conference for consideration and what should not.

3 GENERAL COUNCIL

3.1. The General Council (GC) has the authority to act on behalf of the Ministerial Conference and is the WTO's highest-level decision-making body in the intervals between Ministerial Conferences.⁵

3.2. To enhance GC's decision-making function and make the meetings effective and efficient, improvements could be made to the agenda and the conduct of meetings.

3.3. As suggested in other proposals, an annotated agenda with explanation and indication on actions required by members for each item will help Members better prepare for the discussion. On the agenda, new submissions should come first, among which, priorities should be given to those requiring decisions. Any new submission within the purview of a relevant council/ committee should first be taken up and considered in that council/committee. With regard to the conduct of meeting, previously discussed proposals that have not garnered consensus and have been resubmitted, should only be considered through the progress report by one proponent. This will assist in efficient management of the agenda and avoid repetition of well-known positions. If need be, other cosponsors and non-cosponsors could provide complementary and additional information in order to give a full picture of the status quo. To assist in having efficient discussions on the resubmitted proposals, the GC Chairperson should consider consulting the proponents in order to identify an outcome-oriented approach rather than repetitive discussions at regular GC meetings, such as discussions among interested members, informal meetings or dedicated sessions.

4 EXTERNAL ENGAGEMENT

4.1. WTO needs to be better understood and supported by external stakeholders. Effective external engagement could be a useful way to ensure WTO's relevance. For this purpose, a review and evaluation of current external stakeholders' engagement could be a good start for further improvements.

4.2. In the meantime, some principles should be adhered to throughout the whole process. It is important to ensure that the engagement of external stakeholders is balanced and all voices are

² The Secretariat has prepared 15 reports on the current function of CTG and 14 subsidiary bodies. The approach has significantly facilitated members' discussion and is delivering good results.

³ WT/L/162.

⁴ Article IV:1, Marrakesh Agreement Establishing the WTO.

⁵ Article IV:2, Marrakesh Agreement Establishing the WTO.

heard. The decision-making process should always remain member-driven and should not be extended to external stakeholders. While cooperation with other international organizations is well recognized, especially in light of global challenges, the WTO should play the role on its own merits and within its mandate. The WTO should synergize rather than duplicate others' work or overburden its own agenda. Existing guidelines and practices of the WTO should be the basis for any improvements to external engagement.

4.3. We look forward to engaging with all Members on improving the monitoring and deliberative function of WTO. We hope with small but concrete steps, Members could collectively make a difference to the WTO and achieve a meaningful and ambitious WTO reform agenda.
